

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

20th May 2023

Subject SA4 – Pensions and Other Benefits

Time allowed: 3 Hours 15 Minutes (14.45 - 18.00 Hours)

Total Marks: 100

INSTRUCTIONS TO THE CANDIDATES

- 1. Please read the instructions inside the cover page of answer booklet and instructions to examinees sent along with hall ticket carefully and follow without exception.*
- 2. The answers are expected to be India Specific application for the syllabus and corresponding core reading. However, substantially the core reading material is still taken from material supplied by Actuarial Education Company which is meant for UK Fellowship examination. The core reading also contains some material which is India Specific, mostly the IRDA regulation. In view of this, it should be noted that focal point of answers is expected to be India Specific application. However, if application specific to any other country is quoted in the answer the candidate should answer the question with reference to Indian environment.*
- 3. Attempt all questions beginning your answer to each question on a separate sheet.*
- 4. Mark allocations are shown in brackets.*
- 5. Please check if you have received complete Question Paper and no page is missing. If so, kindly get new set of Question Paper from the Invigilator.*

AT THE END OF THE EXAMINATION

Please return your answer book and this question paper to the supervisor separately. You are not allowed to carry the question paper in any form with you.

- Q. 1)** A company based in US is offering a final salary Defined Benefit (DB) pension plan to its employees. Currently the plan is 60% funded on buy-out basis and the Trustees have mandated certain restriction on the bulk outflows and investment policy of the pension trust. The pension to the members increases with CPI every year. The pension trust currently manages benefits for roughly 2000 active employees and 750 pensioners. 70% active employees are currently aged less than 45 years. The Actuary appointed by the trustees submits two set of valuations: (1) to be submitted to the pension regulator and (2) to be submitted to the accountants and auditor for accounting disclosure as per USGAAP.

A listed Indian company is in the process of acquiring control of the said US company.

- i) The management of Indian Company wants to understand from their consulting actuary the need for 2 set of valuation and differences in the 2 set of valuations. Describe the aspects a consultant should cover in reply to such a query. (8)

The management of Indian entity is relying on the numbers reported in the US entity's accounting disclosures to estimate the post-acquisition position of the consolidated accounts that will be required to be published by the Indian company after the acquisition.

- ii) Explain, with reasons why the said approach may not be appropriate. Suggest an appropriate approach to prepare the post-acquisition estimate of consolidated accounting position of the post-retirement employee benefits plan and the numbers that are expected to change under the approach (compared to the currently disclosed numbers). Also comment on changes, if any, that the Indian entity may have to make to its valuations after the acquisition is completed. (10)

The management is of the view that, 500 employees of the US entity will be transferred to the Indian entity and the rest of the employees of US entity will be terminated over a period of 5 years from the sale date under a new severance policy. It is also decided that the US entity will be providing the accrued pension benefits of the 1500 employees through its Trust by closing the fund to its new members.

- iii) Discuss the considerations to be borne in mind by the trustees of the US pension plan while revising the investment philosophy of the trust to secure the pension benefits of the 1500 members in the next 5 years as per the severance policy. (10)

The Indian company is offering following post-employment benefits to its employees:

- A Defined Benefit pension plan that was closed to new employees 20 years ago.
 - A defined contribution pension plan for employees joining the company after the DB plan was closed.
 - A Provident Fund as required by Indian statute.
 - Gratuity Benefit as per Indian statute.
- iv) Discuss the merits and de-merits of the several options available with the management of Indian company in administering the pension benefits of 500 employees transferred from US entity. (10)

Management observes that the interest rates are increasing and expects the rates to increase further in coming years. The management is curious to understand how this might impact the accounting cost and administration of the pension benefits.

- v) Discuss how the rising interest scenario impacts the US/Indian pension plans in terms of its funding status & on its pension cost as reflected in US entity's accounts and Indian entity's accounts.

(12)
[50]

Q. 2) Employees' Pension Scheme 95 (EPS95) is a defined benefit pension plan available to the members of Employees provident fund (EPFO) established by the State. It is administered by the Trustees.

- i) Summarize the scheme features of the Employees' Pension Scheme (EPS95) covering aspects like contribution and benefit structure, investment regulations, tax provisions and any other features.

(6)

The Employees' Pension Scheme 1995 (EPS95) requires the contribution on a capped salary which was INR 6,500 per month till September 2014 and increased to INR 15,000 thereafter. Under this benefit, the monthly defined benefit pension is also linked to corresponding capped pensionable salary. However, there was a clause in the EPS95 Act which provided the employee an option to contribute on uncapped salary (not restricted to 6500 or 15000) to reap higher pension on uncapped salary at retirement. This clause was deleted by the Government / EPFO in 2014, nullifying the employees' choice and restricting the pension to statutory threshold. Subsequently, some employees filed a petition towards restoring this option of uncapped pension and recently in Nov 2022, a judgement has been passed by the Supreme Court to uphold the right of employees to opt for higher pension by contributing on uncapped salary.

By this judgement, members of EPS95 as on 01.09.2014 are eligible to receive pension based on uncapped salary provided they exercise the option to contribute to EPS95 on uncapped salary on retrospective basis, i.e. the member will have to forego a certain part of past accumulated Provident Fund corpus along with uncapped contributions in the future to receive higher pension at retirement.

- ii) Outline the key impacts of this Supreme Court judgment along with the pros and cons of opting for the uncapped higher EPS pension from the perspective of the following stakeholders -

a) Government / EPFO / Trustees managing the EPS95 plan

(4)

b) Employees / retired members eligible to choose this option

(4)

c) Employers

(2)

Trustees would like to examine the cost implications of the Judgement and its impact on the funding position of the Scheme. A pension consultant is engaged by them for this purpose.

- iii) As a pension consultant, discuss the cash flow approach that can be used to assess the long term cost of giving this option to the members of EPS95 to opt for higher pension benefit based on uncapped salary following the Judgement.

(12)

A member of EPS95 who is eligible to exercise the option as per the judgement, wants to consult a financial advisor before exercising the option. The financial advisor also uses a model to arrive at the financial results of the higher pension option.

iv) How would the model used by the financial advisor differ from the model used by the pension consultant advising the Trustees on the cost of the scheme (as asked in the above question (iii). (7)

v) In case the Trustees decide to accept & implement the judgement, state the issues other than cost implications, to be considered for effective implementation of the judgement. (5)

The Trustees are concerned about the increasing cost of the scheme (EPS95) and they are considering several alternatives as below to control the long term cost of the scheme. These include -

- a) Changes in Scheme design
- b) Increasing the Contributory requirements
- c) Investment of Funds - increasing the equity exposure
- d) Improving the data quality

vi) Discuss the impact of each of the above alternative on the objective of the Trustees of controlling the long-term cost of the scheme along with its impact on other stakeholders – Government, members and employers. (10)
[50]
